

When the median looks safe and the Governor does not

This case is for undergraduate and early postgraduate students of commerce, accounting and finance. Every reported figure is taken from a public account dated between 2 and 5 October 2026. There is no disguised company with invented results. The protagonist is the student, holding three public exhibits: a speech, a rating-agency sensitivity, and a bank's provisional business update. The decision at the end is a judgment.

On Saturday, 3 October 2026, Reserve Bank of India Governor Sanjay Malhotra addressed the Fifth Kautilya Economic Conclave, organised by the Institute of Economic Growth and the Union finance ministry. Business Today, The Economic Times and The New Indian Express carried the speech. The line that travelled was short. Today's resilience may not necessarily imply tomorrow's immunity.

“But today’s resilience may not necessarily imply tomorrow’s immunity.” — Sanjay Malhotra, Fifth Kautilya Economic Conclave, 3 October 2026.

He was not talking the economy down. He said India was navigating the West Asia crisis from a position of strength. Retail inflation, he noted, averaged 2 percent last year. The financial system was resilient, backed by healthy balance sheets at banks and non-bank lenders. Strong macros, he said, gave confidence that the lingering shock could be withstood. The warning sat beside the compliment. Confidence is not complacency.

1. Why this week belongs in a finance classroom

A future chief financial officer is paid to connect three clocks that do not tick together. The policy clock moves when a governor speaks. The credit clock moves when a rating agency restates coverage. The funding clock moves when a bank publishes advances and deposits. In the first week of October 2026 those three clocks rang within forty-eight hours.

Students often meet them as separate papers: monetary policy, credit analysis, bank management. A board does not. The same crude price that worries the Governor shows up in a manufacturer's gross margin, in a lender's watch-list, and in the cost of a foreign-currency deposit. This case forces the join.

There is a second reason. This series is about an AI-powered economy. Malhotra put artificial intelligence on the financial-stability page, not only on the technology page. The AI investment cycle, he said, has been a major support for global markets. A slowdown in that investment, or in the earnings attached to it, could trigger a sharp repricing of financial assets, particularly along the AI value chain. AI is a productivity tool. It is also a valuation cycle. Valuation cycles end.

2. The speech, without the embroidery

The Economic Times reported that Malhotra called for continued vigilance on emerging risks to global financial stability, even while describing India's financial system as highly resilient. He listed elevated global debt, stretched asset valuations — particularly AI-related — high leverage, private-credit risks, and cyber threats compounded by AI. Emerging markets with high sovereign debt held by non-residents, he said, may face capital outflows if the carry trade unwinds.

On Indian equities he was measured. Markets had fallen in recent months, from high valuations, but the movement had been orderly. Business Today, writing on 2 October, had already recorded an eighth straight weekly loss for the Nifty and the Sensex. Orderly and painful can be true together. A market that declines in an orderly way still marks a treasury portfolio and a promoter pledge.

The New Indian Express reported a second, less quoted sentence. A correction in AI-related valuations in advanced economies, if it happened, might have a positive impact on capital inflows into places such as India. That is a spillover, not a strategy. A global de-rating of AI assets can hurt an Indian vendor in the supply chain and, separately, can send portfolio money looking for a home. The two effects do not cancel. They land on different lines of the accounts.

Business Today's report, by Surabhi, added the domestic frame. India remains exposed to the West Asia conflict through higher commodity prices and external-sector pressures. The policy response Malhotra described was concrete: diversification of import sources, greater sufficiency in energy and other critical resources, strategic petroleum reserves, a faster energy transition, more competitive domestic manufacturing, deeper integration into global value chains, and wider market access through trade pacts.

He also set priorities for anyone guarding a financial system. Stability is not the prevention of shocks. It is the strengthening of resilience so that shocks can be faced. The next crisis may not begin in finance. It may begin with a geopolitical event, a cyber attack, or a technological failure, and reach the financial system through several channels. Monitoring needs better and more granular data. Resilience has to be system-wide — markets, payment systems, technology providers, critical third parties, cross-border networks — because a strong banking system is necessary and not sufficient.

3. Exhibit A — what 50 basis points does to the median firm

On 4 October 2026 Business Today reported Crisil Ratings' view that India Inc could absorb a rate increase of up to 50 basis points. The agency did not say the hike would be free. It said the hike would be largely manageable, with pressure in some sectors. The cushion is the balance sheet. Median gearing of rated companies is around 0.5.

A 25 basis point hike would reduce median interest coverage by only about 10 basis points. A 50 basis point hike would reduce it by about 20 basis points. Coverage could remain around 5.1 times after 25 basis points, and around 5.0 times after 50. Previous hike cycles, the agency noted, had a limited impact on sector credit profiles. A fall of 10 basis points in the coverage ratio is not a fall of 10 percent. If coverage is 5.2 times, a 10 basis point decline takes it to 5.1 times.

Infrastructure, Crisil said, should remain broadly resilient, helped by debt-protection metrics, tariff pass-through and demand, with government capital expenditure as further support to the FY27 credit-quality outlook. Commercial real estate could see a moderate impact on debt-service coverage in a 50 basis point case. Banks, in Crisil's view, can expect credit growth of 14.5 to 15.5 percent in FY27, with MSME and retail as drivers. A rate increase could extend substitution toward the bond market until bank lending rates catch the policy rate. Non-performing assets were expected to stay range-bound, with newer MSME vintages under watch.

The FY27 outlook Crisil retained was stable. The risks it would not retire are the risks in the Governor's speech: prolonged geopolitical tension, supply-chain disruption, elevated crude, a demand hit if inflation and rates surprise, and weather stress into the rabi season.

Exhibit 1. Crisil sensitivity, as reported on 4 October 2026

Item	Reported figure	How a student should read it
Median gearing, rated firms	About 0.5	Aggregate cushion. Not a covenant. Not your firm.
Coverage change, +25 bps	About –10 bps	Small move in the median ratio, not a 10 percent cut.
Coverage change, +50 bps	About –20 bps	Still leaves the median near 5 times.
Interest coverage, +25 bps	Around 5.1x	Debt service remains comfortable at the median.
Interest coverage, +50 bps	Around 5.0x	Manageable is the agency's word. Some sectors differ.
Commercial real estate	Moderate DSCR impact at +50 bps	The sector exception worth naming in class.
Bank credit growth, FY27	14.5–15.5%	Expectation, not a print. MSME vintages watched.
FY27 credit outlook	Stable	Conditional on crude, geopolitics, supply chains.

Source: Crisil Ratings, as reported by Business Today, 4 October 2026.

4. Exhibit B — a bank book that grew, and grew dearer

HDFC Bank released provisional business figures for the quarter ended 30 September 2026. The Financial Express, updated on 5 October, reported them. Gross advances were Rs 32.20 lakh crore, up 16.3 percent year on year. Deposits were Rs 33.28 lakh crore, up 18.8 percent. Deposit growth outpaced advances. That single comparison is the teaching point.

Period-end advances under management stood at Rs 33.08 lakh crore, up 15.3 percent. Average advances under management in the September quarter grew 14 percent to Rs 31.87 lakh crore. Average deposits rose 16.8 percent to Rs 31.67 lakh crore, from Rs 27.11 lakh crore a year earlier. A student who quotes only the period-end number misses the quarter's run-rate. Average balances are what the net interest margin actually earns on.

The mix inside deposits is less flattering than the headline. Time deposits increased 22.8 percent to Rs 22.76 lakh crore. CASA deposits grew 10.8 percent to Rs 10.52 lakh crore. On an average basis, CASA rose 10.7 percent to Rs 9.71 lakh crore, while average time deposits rose 19.7 percent to Rs 21.95 lakh crore. A shift toward time deposits is a shift toward a higher cost of funds, unless rates themselves are falling fast enough to offset the mix.

HDFC Bank mobilised the equivalent of \$11.5 billion in foreign-currency deposits under the Reserve Bank's FCNR(B) swap facility introduced in June. Against those deposits, overseas branches extended loans of \$5.7 billion. The bank issued standby letters of credit aggregating \$3.1 billion in respect of loans against the deposits. During June to August it also raised \$2.5 billion through US-dollar senior unsecured bonds. None of these figures is a profit number. Provisional business updates are not results. They do not disclose net interest margin, slippages, or provision coverage.

Exhibit 2. HDFC Bank provisional business figures, 30 September 2026

Line	Amount	Year-on-year
Gross advances	Rs 32.20 lakh crore	+16.3%
Deposits	Rs 33.28 lakh crore	+18.8%
Advances under management	Rs 33.08 lakh crore	+15.3%
Average advances under management	Rs 31.87 lakh crore	+14%
Average deposits	Rs 31.67 lakh crore	+16.8%
Time deposits	Rs 22.76 lakh crore	+22.8%
CASA deposits	Rs 10.52 lakh crore	+10.8%
Average CASA	Rs 9.71 lakh crore	+10.7%
Average time deposits	Rs 21.95 lakh crore	+19.7%
FCNR(B) deposits mobilised	\$11.5 billion	RBI swap facility, from June
Overseas loans against those deposits	\$5.7 billion	Overseas branches
Standby letters of credit	\$3.1 billion	To other banks
USD senior unsecured bonds	\$2.5 billion	Raised June–August

Source: HDFC Bank provisional update, Financial Express, updated 5 October 2026. Provisional, not audited results.

5. The market around the numbers

Business Today reported on 2 October that Indian benchmarks had logged an eighth straight weekly loss. The same paper reported that 69 companies raised Rs 90,500 crore through initial public offers in the September quarter, even as the secondary market sold off. Primary issuance and secondary pain can coexist. A finance head planning an equity raise should not read a successful IPO book as evidence that the cost of equity has fallen.

Malhotra's description of the equity move as orderly is consistent with a grind rather than a single crash day. For accounting students the distinction matters. An orderly decline still hits fair value through profit or loss, still hits other comprehensive income on equity instruments elected out of profit or loss, and still hits the value of pledged shares. Ind AS 109 does not grant a holiday because the Governor used the word orderly.

SEBI had received about 20,000 comments on proposed changes to the consolidated account statement, Business Today reported on 3 October. That is a market-infrastructure fact. The pipes of household finance are being re-plumbed while the indices fall. A CFO who raises public money will meet those pipes again, on the other side of the offer document.

6. A worked example the median will not do for you

Consider a classroom firm, labelled illustrative because we will not invent its name or its audited numbers. Earnings before interest and tax are Rs 500 crore. Interest is Rs 100 crore. Coverage is 5.0 times, close to Crisil's post-hike median. Debt is Rs 1,000 crore, equity is Rs 2,000 crore, gearing is 0.5. Half the debt is floating, reset quarterly. The other half is fixed for two more years.

A 50 basis point hike does not raise the entire interest bill by 50 basis points. It raises the floating half. Annualised, the extra interest is 0.50 percent of Rs 500 crore, or Rs 2.5 crore, once the reset has fully fed through. Coverage falls from 5.00 times to $500 / 102.5$, or about 4.88 times. Now add a West Asia premium that lifts input cost by Rs 40 crore with no immediate pass-through. EBIT falls to Rs 460 crore. Coverage becomes $460 / 102.5$, or about 4.49 times. The rate shock was small. The commodity shock was not. A student who stresses only the repo rate has done half the case.

Suppose a covenant requires coverage of at least 4.5 times. The commodity case lands on the line. The rate-only case does not. The decision is no longer a ratio. It is whether to hedge the feedstock, pre-pay floating debt, or go to the lender before the test date.

Exhibit 3. Classroom arithmetic — illustrative, not a reported company

Case	EBIT	Interest	Coverage
Base	Rs 500 cr	Rs 100 cr	5.00x
+50 bps on floating half only	Rs 500 cr	Rs 102.5 cr	4.88x
Rate shock plus Rs 40 cr input cost	Rs 460 cr	Rs 102.5 cr	4.49x
Covenant floor	—	—	4.50x minimum

Illustrative only. No company is claimed to have these exact figures.

7. What AI is doing in this case, and what it must not do

Malhotra's AI point is a market point. The investment cycle in computing infrastructure, data centres and advanced semiconductors has supported global asset prices. A slowdown can reprice that chain. Separately, AI can compound cyber risk. Separately again, a finance team can use a model to draft a sensitivity. These are three different uses of the same word.

A student may use a spreadsheet, or a language model, to restate coverage at 25 and 50 basis points, and to show the feedstock case. That is a draft. The draft is informative only if the inputs are the firm's own debt schedule, the public Crisil ranges, and a stated crude assumption. Finance measures the coverage and the cash gap. Accounting verifies that interest is interest, that unrealised commodity gains are not operating profit, and that a provisional bank update is not a profit after tax. A person decides whether the hedge is worth the premium.

The failure mode is familiar. A model writes that India Inc can absorb 50 basis points, citing the median, and the board treats the paragraph as a conclusion about its own bonds. The median is a published fact. The conclusion about this issuer is a judgment.

8. Five questions the Governor handed the CFO

First, where does a shock enter? A blocked shipping lane becomes freight, becomes inventory, becomes a covenant. A vendor outage becomes a missed close. Draw the path before you buy the tool. Second, is the data granular enough? A group average gearing of 0.5 will not show the subsidiary with a bullet repayment in November. HDFC Bank's own disclosure separates CASA from time deposits, period-end from average, rupees from dollars. Third, who outside the

finance team can break the close? Technology providers and critical third parties are inside Malhotra's list. Fourth, what will you not pretend to forecast? An AI-valuation correction may or may not send capital to India. A budget that books the inflow has mistaken a scenario for a base case. Fifth, what does position of strength require of you? The country can hold reserves and diversify oil. The firm still has to choose a hedge ratio. Finance Minister Nirmala Sitharaman, in remarks reported by Business Today on 3 October, said resilience has to be built continuously, not once.

9. Assignment

Question 1. Restate Malhotra's position without adding a number he did not use. Which risks are financial, which are real-economy, and which could start outside finance?

Question 2. Using Exhibit 1, explain to a non-finance director why a 20 basis point decline in interest coverage is not a 20 percent decline in profit. Where would you expect the median to mislead?

Question 3. Using Exhibit 2, argue whether HDFC Bank's September provisional update is evidence of easier system liquidity, dearer system liquidity, or both. Refer to deposit growth, CASA growth and the FCNR(B) mobilisation.

Question 4. Extend Exhibit 3. Assume the floating share rises from half to 80 percent, and the input-cost shock is Rs 60 crore. Recompute coverage. Does the 4.5 times covenant break? What would you do before the test date?

Question 5. A colleague pastes this into the board pack: "Crisil says a 50 basis point hike is manageable, so our bonds are safe." Write the three sentences you would put above that note. Separate fact, inference and decision.

Question 6. Primary markets raised Rs 90,500 crore across 69 issues in the September quarter while benchmarks logged an eighth weekly loss. What does that imply for the cost of equity of a firm planning a placement in the December quarter? What would you not infer?

10. What this case will not claim

It will not claim a repo-rate decision that had not been announced as a new change on 5 October 2026. Crisil's note is a sensitivity to a possible hike of up to 50 basis points, not a report that the Monetary Policy Committee had just delivered one. Earlier public commentary in 2026 had described a hold at 5.25 percent after the easing cycle that began in February 2025. This case does not rest on a fresh October decision.

It will not claim HDFC Bank's profit, margin or asset quality for the September quarter. Those were not in the provisional update. It will not claim a closing index level for 5 October. It will not invent a company, a covenant or a board minute. Exhibit 3 is labelled illustrative for that reason. It will not claim that an AI-valuation correction is certain, or that capital will certainly flow to India if one occurs. Both the risk and the spillover were stated conditionally.

11. Teaching note

Run a 75-minute session without adding facts that were not in the public record that morning. Minutes 0 to 10: read the Governor's sentence and ask what it does not say. It does not say the system is weak. It does not date a crisis. Minutes 10 to 25: two columns, financial-market risks and real-economy risks. AI valuation, global debt, leverage, private credit and cyber in the first. West Asia commodities in the second. Ask which column hits a manufacturer first. Minutes 25 to 40: Exhibit 1. Make a student say that a 20 basis point decline in coverage is a small move in the ratio. Then ask who is hidden by a median gearing of 0.5. Minutes 40 to 55: Exhibit 2. Force the comparison of 18.8 percent deposit growth with 16.3 percent advance growth, and of 22.8 percent time-deposit growth with 10.8 percent CASA growth. Then the dollar chapter. Minutes 55 to 70: Exhibit 3 on the board. If time is short, Question 5 is the one that tests judgment.

A defensible six-line brief uses only this week's public facts. The Governor has said system resilience is not immunity, and has named AI-valuation repricing and West Asia commodities. Crisil says a hike of up to 50 basis points is largely

manageable at the median, where gearing is about 0.5 and coverage would remain near 5 times, with commercial real estate a softer spot. HDFC Bank's provisional book shows deposits growing faster than advances, time deposits growing much faster than CASA, and an active dollar funding programme. Equity indices had logged an eighth weekly loss by 2 October, while the IPO window still raised Rs 90,500 crore across 69 issues. Our action is to restate coverage on the floating book, name the commodity assumption, and decide the hedge. We will not describe the median as our covenant.

Three accounting checks. A provisional business update is not a financial statement. Students should not compute a net interest margin from these figures, because yield and cost are not disclosed. Interest coverage in a rating note is not the same object as the interest line in Schedule III. An orderly market decline is still a measurement event.

Permit a model to draft the sensitivity table. Require the student to paste the source sentence next to every public figure, and to label Exhibit 3 as illustrative. The marking rubric is the series line. Generation without a source fails. A source without a measurement fails. A measurement that accounting would not sign fails. A signed pack with no decision fails.

12. Closing the folder

A student who has only the Governor's sentence has a headline. A student who has only Crisil's median has a comfort. A student who has only HDFC Bank's 16.3 percent advance growth has a growth story. The case is the three together. Resilience at the system level, a balance sheet that can absorb a modest rate shock at the median, and a large bank whose deposits are growing faster than its loans and whose marginal deposit is a time deposit or a foreign-currency deposit.

AI generates. Data informs. Finance measures. Accounting verifies. Human judgment decides.

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Sources

Business Today, Surabhi, updated 3 October 2026. RBI Governor: today's resilience may not imply tomorrow's immunity.

The Economic Times, 4 October 2026. Global financial risks emerging: RBI Governor.

The New Indian Express, updated 3 October 2026. AI investment boom supports markets, but a slowdown could trigger sharp repricing.

Business Today, updated 4 October 2026. Crisil says India Inc can absorb a 50 bps rate hike; corporate balance sheets remain strong.

Financial Express, updated 5 October 2026. HDFC Bank advances up 16.3 percent, deposits up 18.8 percent as on 30 September, provisional data.

Business Today, 2 October 2026. Eighth straight weekly loss for Nifty and Sensex; 69 companies raised Rs 90,500 crore in the September-quarter IPO window.

Business Today, 3 October 2026. Finance Minister: resilience has to be built continuously, not as a one-time exercise. Used as context from the published headline.

How to open the hour

Start with the sentence and nothing else. Today's resilience may not necessarily imply tomorrow's immunity. Ask the room what the sentence refuses. It refuses complacency. It also refuses panic. Students who hear only fear have misread Sanjay Malhotra. Students who hear only comfort have also misread him. He said India was navigating the West Asia crisis from a position of strength, that retail inflation averaged 2 percent last year, and that bank and non-bank balance sheets were healthy. The warning is about the next shock, not about a collapse already in the numbers.

Faculty note. Keep the public record in front of the class. If a student adds a repo-rate decision for 5 October, ask for the press release. This case does not contain one. If a student computes a net interest margin from the provisional update, stop the arithmetic. Yield and cost are not disclosed. If a student books the capital-inflow spillover as a base case, send them back to the New Indian Express wording: may, not will. Created and copyright by Dr. Debasis Pahi, Assistant Professor, Model Degree College, Malkangiri. Ph.D., IIT Kharagpur.

The AI channel, taught slowly

Malhotra said the AI investment cycle has been a major support for global markets. Computing infrastructure, data centres and advanced semiconductors have held up valuations. The mirror image is the risk. If investment slows, or earnings disappoint, assets along that value chain can reprice sharply. A correction in advanced economies may release capital toward emerging markets, including India. Teach both halves. A vendor into the AI supply chain has a revenue risk. A buyer of software has a vendor, cyber and cost-of-capital risk. Neither should budget an inflow. A future CFO budgets a rate, a spread and a hedge.

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The commodity channel

India remains exposed to the West Asia conflict through higher commodity prices and external-sector pressure. The policy list is practical: diversify import sources, energy sufficiency, strategic petroleum reserves, a faster energy transition, competitive domestic manufacturing, deeper global value chains, trade pacts. For the student the question is narrower. What does a move in crude do to gross margin, freight and the working-capital cycle? If the answer is missing, the forecast is a hope. Do not import an unverified gold price into this case. A Business Today headline on 3 October referred to gold at Rs 1.50 lakh. The contract was not verified here. Carry commodity risk on the Governor's words and on Crisil's crude warning.

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Reading Crisil without worship

A hike of up to 50 basis points would be largely manageable for India Inc. Median gearing of rated companies is about 0.5. A 25 basis point hike cuts median interest coverage by about 10 basis points. Fifty basis points cuts it by about 20. Coverage could remain around 5.1 times, or about 5.0 times. Infrastructure looks relatively resilient. Commercial real estate could see a moderate hit to debt-service cover. Bank credit growth is expected at 14.5 to 15.5 percent in FY27. The FY27 credit outlook is stable, with geopolitics, supply chains and crude still named. The median hides the borrower at 2.5 times gearing. Your job is the firm, its covenants, its fixed versus floating mix, and the date of the next reset.

Faculty note. Keep the public record in front of the class. If a student adds a repo-rate decision for 5 October, ask for the press release. This case does not contain one. If a student computes a net interest margin from the provisional update, stop the arithmetic. Yield and cost are not disclosed. If a student books the capital-inflow spillover as a base case, send them back to the New Indian Express wording: may, not will. Created and copyright by Dr. Debasis Pahi, Assistant Professor, Model Degree College, Malkangiri. Ph.D., IIT Kharagpur.

Reading HDFC Bank's provisional book

Gross advances Rs 32.20 lakh crore, up 16.3 percent. Deposits Rs 33.28 lakh crore, up 18.8 percent. Deposit growth outran loan growth. Advances under management Rs 33.08 lakh crore, up 15.3 percent. Average advances under management up 14 percent to Rs 31.87 lakh crore. Average deposits up 16.8 percent to Rs 31.67 lakh crore. Time deposits up 22.8 percent to Rs 22.76 lakh crore. CASA up 10.8 percent to Rs 10.52 lakh crore. Average CASA up 10.7 percent to Rs 9.71 lakh crore. Average time deposits up 19.7 percent to Rs 21.95 lakh crore. FCNR(B) deposits of \$11.5 billion under the June swap facility. Overseas loans of \$5.7 billion against them. Standby letters of credit of \$3.1 billion. Dollar senior unsecured bonds of \$2.5 billion in June to August. These are not profits. They are scale, mix and a diary of rollover dates.

Faculty note. Keep the public record in front of the class. If a student adds a repo-rate decision for 5 October, ask for the press release. This case does not contain one. If a student computes a net interest margin from the provisional update, stop the arithmetic. Yield and cost are not disclosed. If a student books the capital-inflow spillover as a base case, send them back to the New Indian Express wording: may, not will. Created and copyright by Dr. Debasis Pahi, Assistant Professor, Model Degree College, Malkangiri. Ph.D., IIT Kharagpur.

Markets, IPOs, and what not to infer

By 2 October, Business Today had recorded an eighth straight weekly loss for the Nifty and the Sensex, and Rs 90,500 crore raised by 69 companies in the September-quarter IPO window. Primary markets can stay open while secondary markets bleed. A successful book is not a cheap cost of capital. Malhotra called the equity decline orderly. Orderly is a statement about plumbing. It is still a measurement event under Ind AS 109. Do not quote a point level for 5 October from a webpage widget. The weekly-loss report and the Governor's qualitative description are enough.

Faculty note. Keep the public record in front of the class. If a student adds a repo-rate decision for 5 October, ask for the press release. This case does not contain one. If a student computes a net interest margin from the provisional update, stop the arithmetic. Yield and cost are not disclosed. If a student books the capital-inflow spillover as a base case, send them back to the New Indian Express wording: may, not will. Created and copyright by Dr. Debasis Pahi, Assistant Professor, Model Degree College, Malkangiri. Ph.D., IIT Kharagpur.

Marking Question 5

The colleague says Crisil says a 50 basis point hike is manageable, so our bonds are safe. A strong answer has three moves. Fact: Crisil said a hike of up to 50 basis points would be largely manageable, with median gearing around 0.5 and median coverage near 5 times, and with pressure in some sectors. Inference: our bonds are safe only if our gearing, floating share, covenant headroom and commodity exposure look like that median or better. Decision: restate our own coverage before the next board, and do not paste the median into the pack as a conclusion. Agreeing with the colleague fails. Calling Crisil wrong also fails. The gap between a median statement and an issuer statement is the mark.

Faculty note. Keep the public record in front of the class. If a student adds a repo-rate decision for 5 October, ask for the press release. This case does not contain one. If a student computes a net interest margin from the provisional update, stop the arithmetic. Yield and cost are not disclosed. If a student books the capital-inflow spillover as a base case, send them back to the New Indian Express wording: may, not will. Created and copyright by Dr. Debasis Pahi, Assistant Professor, Model Degree College, Malkangiri. Ph.D., IIT Kharagpur.

A second drill on the deposit mix

Period-end deposits were Rs 33.28 lakh crore. Period-end CASA was Rs 10.52 lakh crore. CASA is about 31.6 percent of period-end deposits. Students should not back-solve last year's CASA ratio unless they have both prior stocks. What they can say is that time deposits grew more than twice as fast as CASA over the year. The marginal deposit, on the observed growth gap, is a time deposit. Cost of funds follows the margin of new money, not only the stock. Write that sentence without a fake basis-point saving.

Faculty note. Keep the public record in front of the class. If a student adds a repo-rate decision for 5 October, ask for the press release. This case does not contain one. If a student computes a net interest margin from the provisional update, stop the arithmetic. Yield and cost are not disclosed. If a student books the capital-inflow spillover as a base case, send them back to the New Indian Express wording: may, not will. Created and copyright by Dr. Debasis Pahi, Assistant Professor, Model Degree College, Malkangiri. Ph.D., IIT Kharagpur.

Permitted and forbidden sentences

Permitted: the Governor said today's resilience may not imply tomorrow's immunity. Permitted: Crisil said a hike of up to 50 basis points would be largely manageable, with median gearing around 0.5. Permitted: HDFC Bank's provisional deposits rose 18.8 percent, faster than advances at 16.3 percent. Permitted: these figures are provisional and are not a profit announcement. Not permitted: the RBI hiked rates this week. Not permitted: HDFC Bank's margin expanded. Not permitted: India will receive capital if AI stocks fall. Not permitted: our bonds are safe because the median is safe.

Faculty note. Keep the public record in front of the class. If a student adds a repo-rate decision for 5 October, ask for the press release. This case does not contain one. If a student computes a net interest margin from the provisional update, stop the arithmetic. Yield and cost are not disclosed. If a student books the capital-inflow spillover as a base case, send them back to the New Indian Express wording: may, not will. Created and copyright by Dr. Debasis Pahi, Assistant Professor, Model Degree College, Malkangiri. Ph.D., IIT Kharagpur.